

thing to notice is that stocks and bonds (and although it's not shown in this table, the mutual funds that invest in them) have done a much better job of overcoming the effects of inflation over this period than Treasury bills (which are often found in money funds).

It's clear from the table that if you'd kept your money in a money market fund that invests in Treasury bills, you would barely have kept pace with inflation. Although Treasury bills had a *nominal* return of 3.7%, the real rate of return, after accounting for inflation, was a pitiful 0.7%. And things look even worse when you take taxes into consideration. Although after-tax returns vary depending upon an investor's tax bracket, most investors would actually have *lost* money by investing in Treasury bills over this period. By investing in stocks and bonds, they would have done considerably better.

As mentioned at the beginning of this chapter, the fact that a particular stock has done better historically than most other stocks tells us little or nothing about how well it's likely to do from now on. But it's all we've got. So it's the best guess of many investment experts that over the long term, stocks and bonds *as a whole* will continue to offer rates of return that are significantly higher than the rate of inflation. Although there's no guarantee that this will actually happen (or even that you won't *lose* money by investing in the stock and bond markets over the years), my guess is that these analysts are guessing right.

Low-risk money funds and bank savings accounts are good places to keep your three-month emergency savings cushion. But if you can tolerate more risk, you should consider investments that will give you a fighting chance to get a rate that's a bit higher than inflation. In that case, your next step should be to consider two more aggressive types of investments: stock mutual funds and bond mutual funds.

↓ STOCK FUNDS

Just as money market mutual funds invest in money market instruments, **stock mutual funds** invest in—you guessed it—stocks. The downside of a stock fund is that you risk losing money. The appeal is that your return over the long term may be significantly higher than the return you'd get with a money market fund.